Type MS · Total revenue: price times quantity

Answer 1 of 8 · Question 1 part f · 2 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 5 · find part f in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** Inferior good A is not correct because this is purchased by firms to produce other goods which should increase in demand as consumer incomes increase C is not correct because demand would increase as incomes increase D is not correct because as incomes increase, so would demand	**(1)**

Question number	Which **one** of the following equals $1 740? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **D** Total variable costs A is not correct because price cannot be calculated from the information B is not correct because there is not enough information to calculate revenue and therefore profit C is not correct because the quantity of units produced is needed to do this calculation	**(1)**

Question number	What is meant by the term division of labour? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to splitting up production and 1 mark for reference to tasks Breaking down the production process **(1)** into smaller tasks **(1)** Accept any other appropriate response	**(2)**

Type MS · Total revenue: price times quantity

Answer 1 of 8 · Question 1 part f · 2 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 5 · find part f in this mark scheme extract

Question number	State **one** reason why a supply curve will shift to the left. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct reason • Rise in the cost of production • Rise in indirect taxes • Fall in subsidies • Natural factors/disasters Accept any other appropriate response	**(1)**

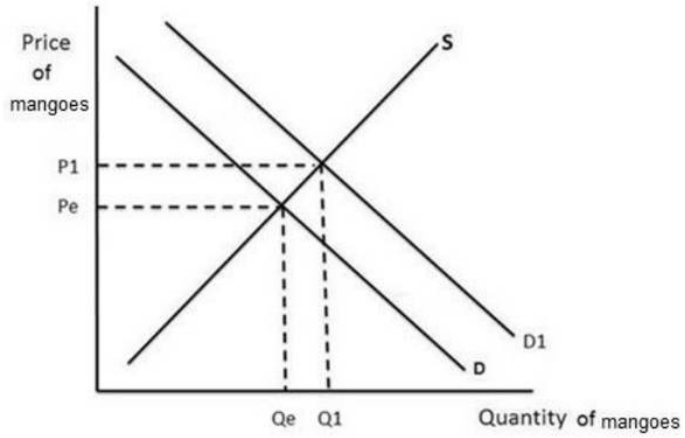
Question number	Define the term competition. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition Rivalry that exists between firms Accept any other appropriate response	**(1)**

Question number	Calculate the **total revenue** for the firm when its monthly sales are 250 units. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation €75 x 250 **(1)** Award 1 mark for correct total revenue = €18 750 **(1)** Award 2 marks if total revenue is correctly calculated as €18 750, even if no calculations are shown Award 1 mark if the answer given is 18 750 with or without calculations shown Do not award marks for a formula	**(2)**

Type MS · Total revenue: price times quantity

Answer 1 of 8 · Question 1 part f · 2 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 5 · find part f in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for mangoes after a study shows that eating them leads to an improvement in health. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** possible reason why Christine serves large-sized meals. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the response Award 1 mark for the response being in context One reason is that Christine may prioritise caring for customer needs **(1)** because she has gained a positive reputation for serving large-sized meals **(1)** meaning, customers are more likely to remain loyal to her cafe **(1)** Accept any other appropriate response	**(3)**

Type MS · Total revenue: price times quantity

Answer 1 of 8 · Question 1 part f · 2 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 5 · find part f in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why there has been this shift in employment in developed countries. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The tertiary sector involves the production of services in the economy • The secondary sector is the production of finished/semi-finished goods from raw materials • As costs of production for manufactured goods decreased in certain parts of the world, it became more difficult for firms in countries such as Germany, the UK and the US to compete • As a result, some firms may have had to cease trading or reduce the number of workers employed • The reduction in jobs in the secondary sector would discourage people from training to do manufacturing jobs • Instead, they are more likely to train in areas such as the tertiary sector, where there is an increasing demand for services, such as entertainment and restaurants due to rising incomes and therefore more employment opportunities in this sector

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Total revenue: price times quantity

Answer 1 of 8 · Question 1 part f · 2 marks

2023 JUN · Paper 01 (regional R) · extract 5 of 5 · find part f in this mark scheme extract

Question number	Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **Answer**	**Mark**

Type MS · Total revenue: price times quantity

Answer 2 of 8 · Question 3 part c · 2 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

3(a)	**AO1 1 mark** **D** Increasing technological advancements	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **D** Education	**(1)**

Type MS · Total revenue: price times quantity

Answer 2 of 8 · Question 3 part c · 2 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question number	Answer	Mark
3(c)	**AO2 2 marks** Award 1 mark for showing correct calculation. 0.85 x 95,000 **(1)** Award 1 mark for correct total revenue (TR). = $80 750 **(1)** Award 2 marks if TR is correctly calculated, even if no calculations are shown Do not award marks for the formula	**(2)**
Question number	**Answer**	**Mark**
3(d)	**AO1 1 mark** Inelastic **(1)** OFR applies e.g. if answer to 3(c) is less than $75 000, award 1 mark for elastic	**(1)**

Type MS · Total revenue: price times quantity

Answer 2 of 8 · Question 3 part c · 2 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The PPF shows the combinations of goods which can be produced with all available resources • An increase in the ability to produce both capital and consumer goods is shown in figure 3 due to the outward shift of the PPF • Economic growth would allow this to happen as there is likely to be an increase in economic resources and improvements in technology over time • With the increase in resources and efficiency, it would be possible to increase production of both capital and consumer goods without the sacrifice of the other

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Total revenue: price times quantity

Answer 2 of 8 · Question 3 part c · 2 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question number	Indicative content
3(f)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Trade unions can help raise wages and improve working conditions for workers by putting pressure on employers during negotiations • SAFTU has nearly 700,000 members and is the 2nd largest federation in South Africa meaning it could have a lot of influence on employers • SAFTU is a new trade union group and so may have new ideas with which to push for workers' rights • The higher wages may reduce the quantity of labour that firms can afford to employ, thus meaning fewer workers are employed in the industry but those remaining receive higher wages • The use of a quantity/wage of labour diagram **AO4** • However, the influence of trade unions has been decreasing all over the world • The effectiveness of the trade unions may depend on whether their power and influence is restricted by legislation • When wage rates increase, if productivity also rises, firms may not have to reduce the number of workers they employ due to higher labour costs • There isn't enough information in the data to know whether 700,000 is a large proportion of the workforce and therefore how influential they might be • How effective trade unions are in influencing the price and quantity of labour may depend on whether firms can pass on increased costs through increased prices or reduced profit margins

Type MS · Total revenue: price times quantity

Answer 2 of 8 · Question 3 part c · 2 marks

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Total revenue: price times quantity

Answer 2 of 8 · Question 3 part c · 2 marks

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question number	Answer	Mark

Type MS · Total revenue: price times quantity

Answer 3 of 8 · Question 4 part a · 2 marks

2020 JAN · Paper 01 · extract 1 of 4 · find part a in this mark scheme extract

Number		
4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation €3 600 ÷ €40 **(1)** Award 1 mark for correct quantity = 90 cakes/units **(1)** Award 2 marks if quantity is accurately calculated as 90 cakes/units, even if no calculations are shown Award 1 mark if quantity is calculated as 90 with or without workings Do not award marks for the formula	**(2)**

Type MS · Total revenue: price times quantity

Answer 3 of 8 · Question 4 part a · 2 marks

2020 JAN · Paper 01 · extract 2 of 4 · find part a in this mark scheme extract

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A takeover involves one firm buying control of another firm and is a form of external growth • Governments may want to control takeovers because if a firm such as Vodafone pays $21.8bn for Liberty Global it is likely to form a dominant company • If Vodafone grows larger due to the takeover it may have too much power in the cable TV market and therefore competition may be restricted • Restricted competition is bad for the market as it could lead to higher prices for consumers of cable TV and to reduced service • The building of a nationwide fibre-optic network may be delayed as a result of the takeover, meaning delays to improving the service offered • If Liberty Global remains as a separate company there is more competition available to challenge Vodafone and offer a better/more varied service to consumers

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Total revenue: price times quantity

Answer 3 of 8 · Question 4 part a · 2 marks

2020 JAN · Paper 01 · extract 3 of 4 · find part a in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Price elasticity of demand (PED) measures the responsiveness of quantity demanded to a change in price • After VAT in South Africa increased by 1% in 2018, many goods and services were more expensive, meaning that demand for goods with elastic demand (PED >1) would have fallen by a larger percentage than the increase in price • As consumer spending and business confidence fell, it is likely many goods on which VAT is imposed, will have an elastic demand. Therefore, the South African Government would receive less revenue from these goods following the increase in VAT • By calculating PED, the government would be able to see the likely effect on demand following further VAT increases and therefore whether its revenue would increase or decrease following the rise **AO4** • However, PED is only an estimate and actual demand may not be the same as the calculations suggest • There may have been other factors affecting consumer spending and business confidence and so a further rise in VAT may not have the same effect as in 2018 • Goods and services such as fruit and vegetables may have an inelastic PED (<1) but as these are considered to be necessities, the South African Government has made them exempt from VAT anyway • PED would need to be calculated for many different products to allow an accurate prediction of the effect on government revenue • It may depend how much the government proposes increasing VAT by, as another 1% rise will lead to different revenue outcomes for them compared to a larger increase • PED may help the government decide whether to increase VAT again, but it may be better if used alongside other analysis of potential outcomes

Type MS · Total revenue: price times quantity

Answer 3 of 8 · Question 4 part a · 2 marks

2020 JAN · Paper 01 · extract 4 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Total revenue: price times quantity

Answer 4 of 8 · Question 4 part a · 2 marks

2020 NOV · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for selecting product Y **(1)** Award 1 mark for correct total revenue $1 650 x 20 = $33 000 **(1)** Award 2 marks if total revenue is accurately calculated as $33 000, even if no calculations are shown Award 1 mark if the answer given is 33 000 with or without calculations shown If product X is selected, and a correct calculation of $37 500 given, award 1 mark Do not award marks for a formula	**(2)**

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The supply of labour refers to the quantity of labour (employees) willing and able to work at any given wage • (Occupational) mobility of labour is where workers have the ability to move between different types of employment, such as artist to art teacher • The supply of labour is likely to increase when it is easier for workers to move to different types of employment • For example, they are able to leave an industry where there is little employment such as selling paintings in small craft shops in order to find work in an industry that needs more employees such as teachers • By providing a scheme to help applicants train to be teachers, the government are providing an opportunity to increase the supply of labour • This is because it would allow more people to become mobile between different types of employment

Type MS · Total revenue: price times quantity

Answer 4 of 8 · Question 4 part a · 2 marks

2020 NOV · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Total revenue: price times quantity

Answer 4 of 8 · Question 4 part a · 2 marks

2020 NOV · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Productivity is the amount of output that can be produced with a given amount of resources • By using technology (a form of capital) such as tablets, restaurants can replace waiters in an attempt to be more efficient • Restaurants may therefore be able to take orders from customers faster due to the use of technology but at a lower cost because the tablets will be cheaper to run than labour • This may make the restaurants more productive as they can increase output and serve more diners due to the increased use of technology • This increase in productivity may allow the restaurants to invest in further capital and therefore become even more productive in the future **AO4** • However, it may take longer for orders to be placed if customers are confused about how to use the tablets, reducing productivity • It may be necessary for labour to be used (initially) to assist diners when they are using the tablets and so the need to use extra resources could mean it is less productive in the short run • Errors in ordering could lead to the wrong meals being prepared which could make the restaurants less productive if they have to correct mistakes • Overall, it may be less productive for restaurants to increase the use of technology in the short run while the restaurant initiates use of the equipment • This may depend on how quickly customers adapt to the changes • However, in the long run, because they may have been able to resolve any difficulties faced by the use of technology, productivity in the restaurants may have increased

Type MS · Total revenue: price times quantity

Answer 4 of 8 · Question 4 part a · 2 marks

2020 NOV · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–4**	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	**5–8**	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	**9–12**	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Total revenue: price times quantity

Answer 4 of 8 · Question 4 part a · 2 marks

2020 NOV · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

Pearson Education Limited. Registered company number 872828
with its registered office at 80 Strand, London, WC2R 0RL, United Kingdom

Type MS · Total revenue: price times quantity

Answer 5 of 8 · Question 1 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **A** Division of labour B is not correct because this is creating products from new ideas C is not correct because this is using more labour during production than capital D is not correct because this relates to the rate of production due to given resources	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **D** Total revenue A is not correct because this is $10 B is not correct because only variable costs are shown, not fixed costs C is not correct because this would be total revenue – total costs	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to an increase in demand and 1 mark for reference to decreased income Goods for which demand will increase **(1)** as incomes decrease **(1)** **OR** Goods for which demand will decrease **(1)** as incomes increase **(1)** Accept any other appropriate response	**(2)**

Type MS · Total revenue: price times quantity

Answer 5 of 8 · Question 1 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct reason • Negative advertising • Fall in income • Negative fashion/taste change • Fall in price of substitute goods • Rise in price of complementary goods • Decrease in the population Accept any other appropriate response	**(1)**

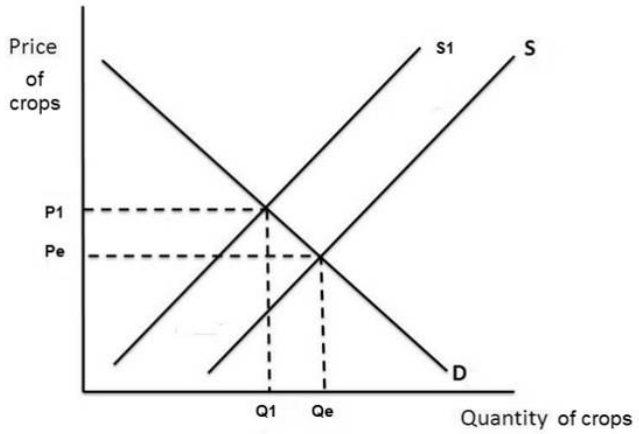
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition Converting resources into goods or services Accept any other appropriate response	**(1)**

	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation -2.1%/1.6% **(1)** Award 1 mark for correct PED = -1.31 **(1)** Award 2 marks if PED is correctly calculated as -1.31, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Total revenue: price times quantity

Answer 5 of 8 · Question 1 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	(3)

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the response Award 1 mark for the response being in context • As China has become more developed, demand for services has increased **(1)** because people demand more of things like education and health care as the economy grows **(1)** therefore employment is likely to transfer from the primary sector towards the tertiary sector **(1)** Accept any other appropriate response	(3)

Type MS · Total revenue: price times quantity

Answer 5 of 8 · Question 1 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • It is an economic assumption that businesses aim to maximise profits • It may take time to find suitable ways of reducing the overall amount of plastic used by 100,000 tonnes, which is likely to result in higher costs • By reducing the amount of non-recyclable plastic packaging it uses, Unilever is likely to incur higher costs as it uses the more expensive recyclable plastic • Unilever may need to source alternative suppliers to replace the remaining 600,000 tonnes of plastic packaging • This means that Unilever will not maximise profits

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Total revenue: price times quantity

Answer 5 of 8 · Question 1 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question number	Answer	Mark

Type MS · Total revenue: price times quantity

Answer 6 of 8 · Question 1 part b · 1 mark

2022 JUN · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** Enterprise A is not correct because it is not a resource used in production B is not correct because it is not used to produce goods/services D is not correct because it is consumed by diners	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **D** $3 200 000 A is not correct because this is $160 x $120 B is not correct because this is 20 000 + $160 C is not correct because 20 000 x $120	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to an increase in demand and 1 mark for reference to increased income Goods for which demand will increase **(1)** as incomes increase **(1)** **OR** Goods for which demand will decrease **(1)** as incomes decrease **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula • Private benefits + external benefits	**(1)**

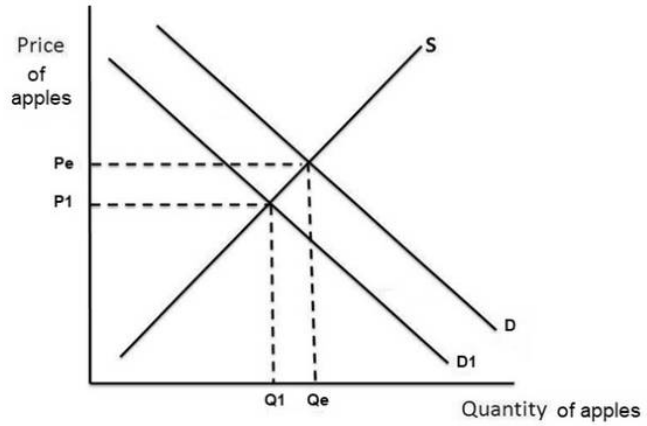
Type MS · Total revenue: price times quantity

Answer 6 of 8 · Question 1 part b · 1 mark

2022 JUN · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A specialised market for a particular product Accept any other appropriate response	**(1)**

	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 4.7%/5.4% **(1)** Award 1 mark for correct PES = 0.87 **(1)** Award 2 marks if PES is correctly calculated as 0.87, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Total revenue: price times quantity

Answer 6 of 8 · Question 1 part b · 1 mark

2022 JUN · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a disadvantage Award 1 mark for developing the response Award 1 mark for the response being in context • Employees may find the work boring/monotonous **(1)** because they spend the whole day sealing boxes for the orders **(1)** and they are repeatedly doing the same task **(1)** Accept any other appropriate response	**(3)**

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Government regulation is put in place to reduce the external costs of production and consumption • Consumers are more likely to return plastic bottles because of the scheme, so they are able to get their €0.25 back • This is likely to reduce litter and the negative impact on the environment, therefore reducing negative externalities • The scheme is also cheaper for the government, meaning more funding could be available to benefit the environment • The 98.5% return rate shows the regulation is very successful and likely to reduce negative externalities significantly • More awareness of the problems caused by plastic bottles could be gained through adoption of the scheme, leading to better prevention of other plastic waste being discarded • This can have further long-term benefits for the environment

Type MS · Total revenue: price times quantity

Answer 6 of 8 · Question 1 part b · 1 mark

2022 JUN · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Total revenue: price times quantity

Answer 6 of 8 · Question 1 part b · 1 mark

2022 JUN · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

Question number	Answer	Mark

Type MS · Total revenue: price times quantity

Answer 7 of 8 · Question 4 part a · 2 marks

2023 JAN · Paper 01 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for selecting product X **(1)** Award 1 mark for correct total revenue $3 000 x 50 = $150 000 **(1)** Award 2 marks if total revenue is accurately calculated as $150 000, even if no calculations are shown Award 1 mark if the answer given is 150 000, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Total revenue: price times quantity

Answer 7 of 8 · Question 4 part a · 2 marks

2023 JAN · Paper 01 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the reasons why consumers may not maximise their benefit when consuming sugary drinks. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Consumers are not always very good at calculating what is/is not good for them • An increase in adverts has put pressure on consumers to purchase unhealthy products, such as sugary drinks • It is unlikely that consumers would have the full information about the negative effects of the sugar in drinks, such as Coca Cola and Fanta, from the adverts and so would be unlikely to be able to maximise their benefit • It can be difficult to change habits, such as enjoying the taste of the soft drinks and so consumers may still be prepared to pay the additional 0.50 zloty ($0.11) cost/litre • This is especially true if the price of the drinks is only a small amount of the consumer's income • Changing the habit of consuming sugary drinks may be even more difficult if this is different to the actions of friends • This is because, as consumers see others consuming sugary drinks, they may copy this behaviour

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Total revenue: price times quantity

Answer 7 of 8 · Question 4 part a · 2 marks

2023 JAN · Paper 01 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate whether the family should expand the business rather than keeping it small. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Expanding a business means serving a higher number of customers, to potentially increase profits • Becoming a larger firm may mean NT Massage is able to make higher profits because it can charge higher prices to the tourists and business people in the new shops • It may have a large increase in customer numbers because there would be shops in busier areas of Hong Kong, this would lead to an increase in revenue and therefore, possibly profits • By having a chain of shops, advertising at hotels and targeting the 7.5 million population of Hong Kong as well as tourists/business people, NT Massage would be spreading its risks, rather than just relying on the original location and local residents • Due to its success as a small business, NT Massage may have more access to finance to be able to grow the firm • It may be possible for NT Massage to benefit from economies of scale, such as being able to spread advertising costs **AO4** • However, NT Massage currently offers a very traditional service which may be negatively affected if the firm expands • The long-standing customers may not like changes being made to the firm, especially if they value the traditional approach • It may experience diseconomies of scale such as difficulty in coordinating and controlling the firm in more than one location, especially if Mei and her family are only used to having one shop • There would be a lot of competition located near to the proposed new locations, meaning that it would be more difficult to attract custom • It would require time and money to grow the firm, meaning that it may be a long time before any profit is made • Raising finance may be difficult for a small business such as NT massage • This could cause further problems for the existing business • Therefore, it may depend on the strength of existing competitors, the ability of NT Massage to advertise successfully and the volume of tourism/business from which to attract potential custom

Type MS · Total revenue: price times quantity

Answer 7 of 8 · Question 4 part a · 2 marks

2023 JAN · Paper 01 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Total revenue: price times quantity

Answer 7 of 8 · Question 4 part a · 2 marks

2023 JAN · Paper 01 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Pearson Education Limited. Registered company number 872828
with its registered office at 80 Strand, London, WC2R 0RL, United Kingdom

Type MS · Total revenue: price times quantity

Answer 8 of 8 · Question 2 part c · 2 marks

2025 NOV · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** Most efficient A is not correct because this would be to the right of 'X' B is not correct because external economies of scale are not specifically shown on this diagram D is not correct because the diagram does not show profit	**(1)**

Question number	Which **one** of the following is the most likely cause of economic growth? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **B** An improvement in efficiency A is not correct because this may hinder economic growth C is not correct because this would reduce economic growth D is not correct because this would not lead to economic growth	**(1)**

Type MS · Total revenue: price times quantity

Answer 8 of 8 · Question 2 part c · 2 marks

2025 NOV · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question number	Calculate, the **total revenue** for the shop in August. You are advised to show your working. **Answer**	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation (227 + 133 + 179 + 301) x $3.50 **(1)** **OR** 840 x $3.50 **(1)** Award 1 mark for calculating the correct total revenue = $2 940 **(1)** Award 2 marks if the total revenue is correctly calculated as $2 940, even if no calculations are shown Award 1 mark if the answer given is 2 940, with or without calculations shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term bureaucracy? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A system of administration **(1)** that uses a large number of departments/officials **(1)** Accept any other appropriate response	**(2)**

Type MS · Total revenue: price times quantity

Answer 8 of 8 · Question 2 part c · 2 marks

2025 NOV · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

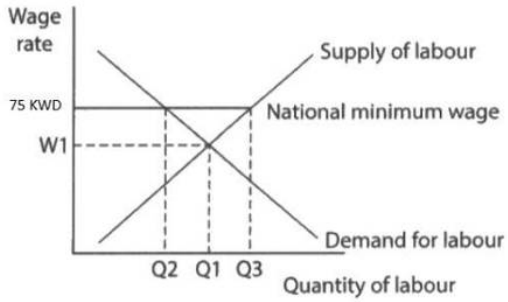
Question number	Describe **one** government policy to encourage positive externalities. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the policy and 1 mark for development of the policy Subsidies **(1)** to encourage the production/consumption of goods (that have external benefits) **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** way an improvement in drainage may affect the productivity of Indian farmers. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context Drainage would reduce flooded areas of land **(1)** meaning farmers could grow more crops on the newly available land **(1)** increasing the output/leading to higher productivity **(1)** Accept any other appropriate response	**(3)**

Type MS · Total revenue: price times quantity

Answer 8 of 8 · Question 2 part c · 2 marks

2025 NOV · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the likely effect of having a minimum wage on the demand for labour in Kuwait. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Having a minimum wage means a higher income is received by people who may have struggled with basic needs than if the national minimum wage was not in place • A minimum wage may affect the demand for labour because firms may need to pay their workers more in exchange for the work carried out • Therefore, it could increase the costs of the firms and consequently, may reduce profit • Possible use of a diagram:  • As the wage rate increased from W1 to the minimum wage (75 KWD) it means that fewer workers may be employed by the firms, so the quantity of labour demanded may decrease from Q1 to Q2 **AO4** • However, some firms may already have been paying its workers above 75 KWD per month • Therefore, the legislation would not cause a change in the costs of those firms and consequently it may not affect their profits • This may mean that the demand for labour is unchanged • Despite this, the introduction of a minimum wage may put pressure on firms to maintain a higher wage rate to retain workers, meaning demand for labour may still decrease • It may depend on the number of firms paying at or above the minimum wage before its introduction

Type MS · Total revenue: price times quantity

Answer 8 of 8 · Question 2 part c · 2 marks

2025 NOV · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Total revenue: price times quantity

Answer 8 of 8 · Question 2 part c · 2 marks

2025 NOV · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question number	Which **one** of the following may be a reason why a firm stays small? **Answer**	Mark